

**BEFORE THE
FEDERAL MARITIME COMMISSION**

HAPAG-LLOYD, A.G., AND
HAPAG-LLOYD (AMERICA) LLC –

POSSIBLE VIOLATIONS OF 46 U.S.C. § 41102(C)

DOCKET NO. 21-09

RESPONDENTS' OPPOSITION TO MOTION FOR LEAVE TO INTERVENE

Pursuant to 46 C.F.R. §502.68(b)(3), Respondents Hapag-Lloyd AG and Hapag-Lloyd (America) LLC (“Respondents”), through the undersigned attorneys, hereby oppose the Motion For Leave To Intervene filed by Orange Avenue Express, Inc. (“OAE”)(hereinafter, the “Motion”).

I. Introduction

OAE seeks leave to intervene both as a matter of right under 46 C.F.R. §502.68(c)(1) and as a matter of discretion under 46 C.F.R. §502.68(c)(2)(i). As explained below, the Motion should be denied.

II. The Motion Does Not Meet The Criteria For Intervention As A Matter Of Right

The Motion must be denied because it does not meet the criteria for intervention as a matter of right.

Under 46 C.F.R. §502.68(c)(1), intervention as a matter of right is to be granted to anyone:

...who claims an interest relating to the property or transaction that is the subject of the proceeding, and is so situated that disposition of the proceeding may as a

practical matter impair or impede the ability of such person to protect its interest...

The Commission has held that in applying the foregoing regulation “The key is whether the person seeking intervention ‘will gain or lose by the direct legal operation of the judgment’ in the proceeding.” *Revocation of OTI License No. 017843 – Washington Movers, Inc.*, 34 S.R.R. 27, 31 (FMC 2016), citing *Contract Marine Carriers, Inc.*, 21 S.R.R. 1387 (FMC 1982). OAE does not meet the applicable legal standards.

As an initial matter, OAE has no interest whatsoever in the eleven (11) containers that are the subject of this proceeding, and does not claim such an interest in the Motion.

Moreover, OAE will not gain or lose by the direct legal operation of the judgment in this proceeding. The Commission had made clear that “Each section 41102(c) case would continue to be decided on its particular facts...” 85 *Fed. Reg.* 29638, 29639 (May 18, 2020).¹ Given that each section 41102(c) is decided on its own facts, OAE will not gain or lose by operation of the judgment in this proceeding.

Furthermore, the disposition of this proceeding will not impair or impede OAE’s ability to protect its interest. To the contrary, OAE has filed a separate proceeding (FMC Docket No. 21-10) in which it is alleging Shipping Act violations. That proceeding enables OAE to fully protect its own interests with respect to the separate transactions that are the subject of Docket No. 21-10, and makes it unnecessary for OAE to intervene in this proceeding.

In light of the foregoing, intervention as a matter of right would be inappropriate and the Motion should be denied.

¹ This is consistent with the Commission’s approach to reasonableness determinations generally, i.e., treating reasonableness as a question of fact. See, e.g., *Investigation of Free Time Practices – Port of San Diego*, 9 F.F.M.C. 525, 547 (FMC 1966)(“It is by application to the particular situation or subject matter that words such as ‘reasonable’ take on concrete and specific meaning.”)

III. The Motion Does Not Meet The Criteria For Permissive Intervention

An analysis of the criteria for granting permissive intervention demonstrates that such intervention should not be granted here, and that the Motion should be denied.

Under 46 C.F.R. §502.68(c)(2)(i), there are four criteria used to evaluate a request for leave to intervene: (i) existence of a common issue of law or fact; (ii) unduly delaying or broadening the scope of the proceeding; (iii) duplication of position of existing party; and (iv) assisting in development of a sound record. These criteria are considered below.

A. Intervention Would Unduly Broaden And Delay This Proceeding

OAE candidly admits that its goal is to broaden the scope of this proceeding.

This proceeding involves charges assessed against eleven (11) specific containers, none of which was transported by OAE. OAE now wishes to intervene and greatly increase the breadth of the proceeding. OAE admits as much in the Motion, alleging that its participation would assist BOE in demonstrating that the conduct herein at issue is not limited to the 11 containers at issue but “is part of wide-spread practices and conduct by Hapag-Lloyd in the ports of Los Angeles and Long Beach and potentially elsewhere.” Motion at 2 (emphasis added). In other words, OAE is expressly stating that it seeks to expand the scope of this proceeding beyond the 11 containers at issue. If the Commission had wanted to launch a broader investigation of Hapag-Lloyd’s practices, it could have done so through any number of procedural vehicles. It chose instead to initiate this proceeding, narrowly focused on 11 specific containers. OAE should not be permitted to convert this narrowly focused proceeding into a broader investigation when the Commission itself has not done so. Such expansion is not necessary to resolve the

issues in this proceeding.²

Moreover, permitting OAE to intervene in this proceeding will necessarily expand its scope given the different types of relief sought here and in Docket No. 21-10. This proceeding does not involve a claim for reparations, whereas Docket No. 21-10 does. OAE's superficial allegation of what it alleges to be common issues of fact ignores this important difference in the two proceedings. If OAE is permitted to intervene and engage in discovery, then Hapag-Lloyd will necessarily have to seek discovery with respect to OAE's claims of damages in Docket No. 21-10. Intervention would essentially combine the two proceedings into one, something that is inappropriate given the different relief sought in each.

Given the number of containers that are the subject of OAE's complaint, discovery in this case will be greatly broadened if OAE is permitted to intervene. If OAE is permitted to intervene, Hapag-Lloyd will be required to greatly increase the scope of its discovery request to the Commission. It will also be forced to seek discovery from OAE and potentially from additional third parties. This would expand and delay this narrow, focused proceeding.

As the scope of discovery expands, the time necessary to complete discovery and the potential for discovery disputes increases. As the Presiding Officer's December 20, 2021 order rejecting the parties' proposed schedule indicates, this proceeding is being heard on an expedited basis. Permitting OAE to intervene will make compliance with the expedited schedule impossible.

² The Bureau of Enforcement's claim that OAE's participation in the proceeding may assist in determining whether Hapag-Lloyd's actions are a normal, customary, and continuous pattern of behavior is both speculative and misguided. The Bureau of Enforcement has the burden of proof on such issues and should not be able to fulfill that burden by having third parties intervene to assist it in making its case. Indeed, permitting intervention on this basis establishes a dangerous precedent for future enforcement cases and could raise serious due process issues. More importantly, intervention is unnecessary. The Bureau of Enforcement does not (and indeed could not) claim that information that could be obtained from OAE regarding Hapag Lloyd's billing practices could not be obtained directly from Hapag-Lloyd through the normal discovery procedures. Intervention is not and should not be a substitute for discovery.

In light of the foregoing, the Motion should be denied.

B. Intervention Would Duplicate BOE's Position

The position being taken by OAE appears to duplicate the position of BOE, making intervention unnecessary and inappropriate.

BOE is alleging that assessment of detention charges on equipment that could not be returned due to a lack of terminal appointments was unreasonable and a violation of the Shipping Act. OAE's complaint in Docket No. 21-10 makes essentially the same allegation. Thus, OAE's position appears to be unnecessarily duplicative of BOE's. This weighs in favor of denying the motion.

C. Intervention Would Not Assist In The Establishment Of A Sound Record

Granting the Motion would not assist in establishing a sound record.

As noted above in Section II.A of this opposition, this is a narrow proceeding focused on 11 containers. Development of a sound record, including facts related to defenses of Respondents, should not be an overly complex task. The assistance of OAE is not needed to develop this record. If anything, the intervention of OAE would complicate the establishment of a sound record given that such involvement would unduly broaden the scope of this proceeding, delay its completion, and is likely to introduce differing facts or considerations. Accordingly, the Motion should be denied.

D. Allegations of Common Issues Of Law or Fact Are Overstated

The Motion overstates the extent to which common issues of law or fact are involved in this proceeding and Docket No. 21-10. A closer examination of the two proceedings, and the Commission's guidance on the application of Section 41102(c) of the Shipping Act, indicates the Motion should be denied.

Although both cases involve the availability of appointments to return empty equipment transported by the same ocean carrier to terminals in southern California, that is where the similarity ends. For example, the two cases involve different types of equipment (dry vs. reefer) and different rules governing the use and return of the equipment. Given that the parties in each proceeding have not yet initiated much less completed discovery, it cannot yet be known whether there are significant factual distinctions relating to the parties' respective actions or the circumstances surrounding the alleged inability to return equipment. It very well may be that upon closer analysis, the two matters are quite distinct despite both involving the same general legal question. In addition, OAE appears to be claiming reparations for costs involved in storing the cargo, something not at issue in this proceeding.

If each 41102(c) case is to be decided on its facts, then the facts relevant to OAE's claims should be developed and tried in Docket No. 21-10, not in this proceeding.

IV. Conclusion

For the foregoing reasons, the Motion should be denied.

Respectfully submitted,



By: _____

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Dated: December 24, 2021

CERTIFICATE OF SERVICE

I HEREBY CERTIFY that on this 24th day of December, 2021, the foregoing Opposition was served via electronic mail on:

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A handwritten signature in black ink, appearing to read "Wayne R. Rohde". The signature is stylized with a large, looped 'W' and a cursive 'R'.

Wayne R. Rohde